

Disbursal of Earnest Money: Possible Scenarios

Earnest Money Goes Toward Closing Costs

Marcus and Miriam are purchasing Susan and Bill's house. Marcus and Miriam put down \$3,000 in earnest money. The inspection reveals a few points of negotiation, but the parties work out their differences. The appraisal is held, and the property appraises at value. Marcus and Miriam's loan goes through right on time, and now they are at the closing table. In the settlement, the \$3,000 will be subtracted from the total amount they owe at closing. While it could have been applied to the down payment, or something else, their \$3,000 is counted toward their closing costs.

Earnest Money Retained by Seller as Liquidated Damages

Julie is a first-time homebuyer who puts \$2,000 earnest money down toward the purchase of Kevin's townhome. The inspection uncovers a leaking roof, which the parties begin to negotiate. Unfortunately, Julie's agent doesn't pay attention to the inspection contingency deadline, and it comes and it goes. Julie has now bought the house "as-is," meaning she must take on the roof repair herself. She can't afford a roof repair and the down payment, so she terminates, and Kevin gets to retain her \$2,000 earnest money as liquidated damages. (Julie may well sue her agent for misrepresentation in this case.)

Earnest Money Returned to Buyer

Scott is purchasing Tomiko's condo and places \$1,500 down as earnest money to show his good faith. The inspection goes fine, but the appraisal comes in \$10,000 under their agreed-upon sales price. Tomiko refuses to lower her price, and Scott won't pay more, so the transaction is terminated. Because the sales contract included an appraisal contingency, Scott gets his earnest money back.

Partial Earnest Money Refunded to Buyer, Part Retained by Seller

After a fierce bidding war with three other potential buyers, the Carsons enter into an agreement to purchase the Mallorys' home for \$300,000. The Carsons place \$3,000 down as earnest money, but as part of their negotiating strategy, they have also offered another \$2,000 earnest money that, if the Mallorys accept their bid, will "go hard." This means if the Carsons pull out for any reason, the Mallorys get to keep the \$2,000. The inspection goes well but the house does not appraise. The Carsons decide to terminate and ask for their earnest money back. They are only entitled to \$3,000 back; the Mallorys retain the other \$2,000.